

many changes. The Ponzi scam is basically the offer by a third party to reward participants with high return on their investments. In the world of Bitcoin the scam works like so - an online business, an investment firm mostly, declares that if you store your Bitcoins with them they will give you an assured percentage of profit on a weekly or monthly basis. That means if you deposit 100 BTC with them, they will give you a return of 2-7 percent weekly. This is obviously a great deal but it is also a complete work of fiction.

But most users are not aware of how trading and Bitcoins work, and start off with a small investment. To their surprise they are rewarded as promised and decide to deposit even more with the service. But suddenly and unexpectedly the website or service stops returning any profit as well as responding to messages. It disappears with all deposits made and no trace of their existence. This is the basic model of the Ponzi scam and it defrauded countless people of over 26,000 BTC or roughly USD\$ 26,000,000 dollars over 2011-12 in the form of the Bitcoin Savings and Trust scam.

Physical Sale Scam

A new scam, in areas where Bitcoin is still emerging, involves the sale of physical Bitcoins. Users are required to send their Bitcoins to the service providers address and in return they receive a freshly minted metal or gold coin that has the Bitcoin value stored on it in the form of an inscribed key number. However, most early users of Bitcoin are not clear on the nature of Bitcoin and fall prey to fake coins that can't really be used in the real world. In certain cases, even the gold value equivalent coins are fake and the total funds deposited are stolen by the scam artists. Unfortunately, the irreversible nature of the Bitcoin system makes transactions with unknown persons and business' a risky proposal. And even though an online directory of trusted vendors and merchants is available, countries that are not so well networked online, find themselves unrepresented leading to scams.

Phishing Scam

Phishing scams are a common plague in the virtual world - be it letters from your bank asking you for details or an African prince requiring bank details to transfer large sums of money. In the world of Bitcoin as well, this scam is used to interesting ends. Once people become active on the Bitcoin exchange using an email id and Bitcoin address, it isn't too hard for criminals to figure out their targets. The Bitcoin version of this scam is based on